

REINING IN F&O

The government has increased STT on F&O in the Budget for 2024-25

Minimum F&O lot value likely to be increased from ₹5 lakh to ₹15-20 lakh, further to ₹20-30 lakh after six months

Proposal for weekly options contract to be limited to one benchmark index per exchange, resulting in six weekly contracts a month, from 18 now

Upfront collection of options premiums from buyers suggested

Strong messaging from regulators and government that stock markets are not a place for gambling

Protect household savings, support capital formation, and mitigate possible systemic risk in case of a black swan event

Suggest imposing certain fixed conditions on the net worth of clients for trading in derivatives

Restrict the use of borrowed capital from the banking system via personal loans

Introduce simpler process to register investment advisors, financial influencers, and other market trainers

Address concentration risk at NSE by promoting BSE and offering a level playing field



PHOTO BY MANDAR DEODHAR

ASHISHKUMAR CHAUHAN
MD & CEO, NSE,
AT AN EVENT IN JUNE

“Trading in derivatives should be avoided by retail investors due to the high amount of risk involved in the segment. But no one seems to be heeding [our advice]”

The introduction of weekly contracts in 2018, in addition to monthly contracts, further amplified trading volumes. As a result, the market share of index options, which was less than 5% four years ago, is now close to 30% of F&O turnover (see graphic ‘Decoding the F&O Jugernaut’).

“Exchanges have also promoted this segment as a speculative platform,” admits an exchange official on condition of anonymity. Plus, Sebi allowed exchanges to launch different weekly index options on separate days. “If it is a perceived risk, it should not have been allowed,” says another market player. Religare’s Sidana says over

time it has been observed that instead of using F&O for hedging, “people are taking naked positions without any hedging”.

BUSTING THE MYTHS

Let us examine F&O trades in detail to bust a few common myths. “The total number of monthly investors who trade in F&O in the retail category is not more than 3.5-4 million,” says Samco’s Modi. Compared to that, the corresponding number in the cash market is 12.5-15 million, he says. According to Rishi Kohli, Managing Part-